

Teaching Note

Business Basics

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Scenario

Starting a tea retail shop in India's growing market, with a size of around INR 26,500 crore (USD 3.6 billion) in 2022, offers substantial opportunities. The industry's steady growth, driven by rising disposable income and changing consumer preferences, anticipates a 5-6% CAGR from 2021 to 2026. Tea's widespread accessibility and a strong distribution network reaching urban and rural areas ensure consistent demand. Entrepreneurs can capitalize on the promising market, known for its education and technology sectors. To succeed, they should diversify tea offerings, focus on quality sourcing, and ensure efficient distribution. Adapting to market trends, meeting consumer demands, and providing excellent customer service are crucial for establishing a successful tea retail business.

Objectives

The simulation aims to operate and comprehend the intricacies of small local businesses, guiding participants in making decisions in crucial areas based on fundamental principles for long-term sustainability. The success measure in the simulation is determined by the level of profitability achieved by the business and the realized profit margin.

Critical Parameters

Food For Thought: This segment provides crucial aspects to consider, offering valuable insights for decision-making.

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While traditional marketing strategies have their merits, they might not fully harness the power of modern technology and analytics. Adapting to consumer preferences is crucial, but in today's rapidly evolving digital age, it's equally essential to leverage current data and tools. To enhance your marketing decisions, consider combining traditional methods with modern data-driven techniques for a more rounded approach.

Continue to Game →



Sales forecasting Error

The difference between estimated demand and actual demand will result in a sales forecasting error. As a rule of thumb forecasting error higher than 20% will increase the ordering of tea and cups cost by 10%. It is due to adjustments in orders at the last minute.

Demand Data

The demand data provided will aid in the decision-making process. Business days in Month, Population in Vicinity, Consumer personas etc.

Demand data	
Business days in Month	Population in Vicinity
22	30000
Average consumption of tea cups per day/pax	Competitors in Vicinity
2.8	5
Estimated tea cups demand next month	
0	

The figure on Demand Data provided in the Platform

Price vs Demand Elasticity Graph

The Price-Demand Elasticity Graph illustrates the relationship between the price of the service and the corresponding quantity demanded by consumers.

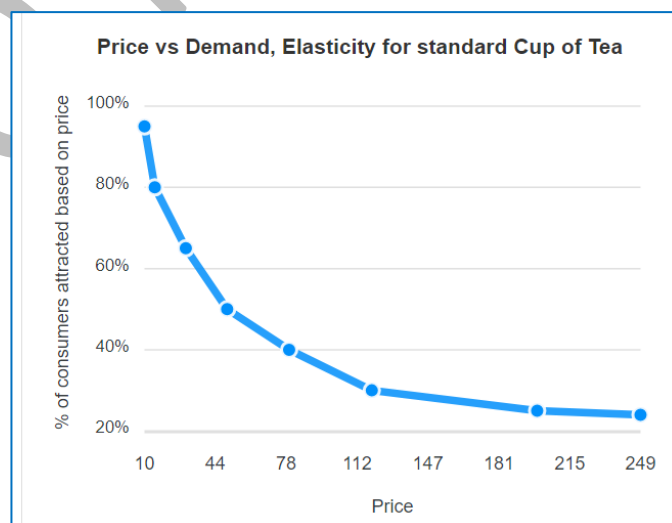


Figure showing the Price vs Demand Elasticity Graph in the platform

Demand vs Promotion Elasticity Graph

The Demand-Promotion Elasticity Graph illustrates the relationship between the promotion of the service and the corresponding change in quantity demanded by consumers. Elasticity in this context measures how responsive consumer demand is to changes in promotional budget.

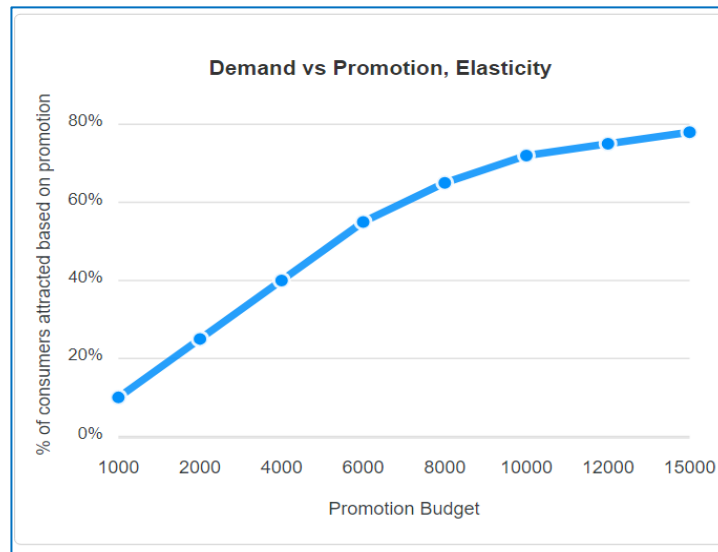


Figure showing the Demand vs Promotion Elasticity Graph in the platform

Logic for Decision Making

1. Location Set Up – Tea Shop

Two location options are available, each with unique benefits based on factors like the target audience, potential foot traffic, competition, consumer spending, rental requirements, and other relevant parameters. Through a thorough SWOT (Strengths Weaknesses Opportunities Threats) analysis of both options, participants can identify the optimal choice.

The two major parameters that affects the Location decisions are:

Parameters	Jayanagar	White field
1. Rental per month, INR	80000	120000
2. Standard size of tea shop, sq. ft	150 Sq. ft	500 Sq. ft

3. Licensing & Regulation

Decisions about the necessary licenses and adhering to regulations essential for operating the business in any location. These measures ensure alignment with health, safety, and quality standards set by authorities, granting legal authorization and fostering consumer trust in the delivery of safe and authentic products. There are two options each with different benefits and drawbacks. The two major parameters that affects the Licensing & Regulation decisions are:

Parameters to consider	In House Compliance	Outsourcing to Compliance Agencies
a. Monthly Cost, INR	25000	45000
b. Delay	5 Months	Nil

4. Demand Estimation

A decision on forecasting demand must be taken. It will be a reference towards ordering the material and planning revenue. Utilise the demand chart and reduce the sales forecasting error. The major parameters that affect Demand Estimation includes:

Parameters	Jayanagar – Bengaluru University	Whitefield - ITPL Corporate Park
Total Population	25000	30000
Tea Drinker, %	10	5
Number of Cups a day	3	2.8
Competition	10	5
Days	26	22

5. Investments

This section centres on decisions aimed at improving the overall customer experience, thereby elevating the brand image, and boosting profitability. It entails choices regarding interior design, product mix, and vendor selection. The expenses for interior and equipment investments will be paid upfront as a single cash payment, while, for accounting purposes, they will depreciate over a span of 30 months.

The following are the diverse investment options available to improve the customer experience.

Interior Investment	
Simplistic Interior	A lower initial investment and minimalistic design will create a cozy ambience. It lacks the wow factor and unique aesthetic appeal. Operational cost per month is INR 12000 and One time Investment is INR 360000.
Aesthetic Interior	A higher initial investment with high maintenance and upkeep cost. The visually appealing and luxurious ambience will attract upscale clientele. Operational cost per month is INR 25000 and One time Investment is INR 720000.
Parameters	Operational Cost per month and One time investment cost
Product Mix Investment	
Normal	A machine typically takes around 2 minutes to brew a standard cup of tea (240 ml). features like water temperature control, brewing strength control, multiple capacity at once, user friendly control, drip trays and spill prevention. Operational cost per month is INR 5000 and Machine cost is INR 20000.
Normal +Thandoori	A machine typically takes around 3 minutes to brew a standard cup of tea (240 ml) features like customizable brewing options, grinder integration, multiple brewing options, milk frothing, pre-programmed recipe, self-cleaning functionality etc. Operational cost per month is INR 9800 and Machine cost is INR 90000.
Parameters	Operational cost per month and Machine cost
Vendor Tea and Cups	
Vendor 1	Siliguri vendor specializes in selling premium tea with acquired tastes popular in eastern and northern India. They offer normal designed paper cups, holding 240 ml, for convenient tea consumption. Located in a region known for tea production, the vendor highlights unique flavours while providing a hassle-free tea-drinking experience. Cost per Kilogram INR 382, Cost per cup INR 0.9 and number of cup set is 500.
Vendor 2	Ooty vendor offers premium tea with acquired tastes for Southern India and the Middle East. They provide eco-friendly cups, designed for 240 ml of tea, promoting sustainability. Located in a tea-rich region, the vendor caters to regional preferences, offering a distinct tea experience. Cost per Kilogram INR 506, Cost per cup INR 1.5 and number of cup set is 500.
Parameters	Cost per Kilogram, Cost per cup and number of Cup set

6. Marketing

Within this section, participants must make several decisions pertaining to the selling and marketing of services.

a. Determining Price

In this section, participants need to establish the price for each cup of tea. By examining the Price vs. demand elasticity graph, participants can determine a profitable price.

The price vs demand elasticity for various price ranges are as follows:

Price	Jayanagar Bangaluru University	Whitefield - ITPL Corporate Park
INR 5	1.1	1.02
INR 100	0.6	0.8
INR 3001	0.15	0.38

b. Promotion

In the promotion section, participants need to decide on the monthly budget designated for promotional activities. It is crucial to analyse the Demand vs. Promotion elasticity graph for making well-informed decisions regarding promotions. There are three distinct promotional activities, each with its unique advantages. Participants have the flexibility to choose the most suitable promotional activity that effectively appeals to the target audience.

Various campaigns and its effect on improving sales

Social Media Campaign 1	Create thematic content like "Study Sips" or "Corporate Calm" for promotions, featuring advantages to the target market. Engages digitally-savvy promoting the café as their go-to spot for relaxation or focused work. When the allocated budget falls within the range of 1000 to 6000, the elasticity varies between 1 to 1.2.
Local Advertising Campaign 2	Place ads in newsletters or bulletins boards, highlighting discounts for target customers. It directly targets and incentivizes the primary audience, driving them to visit with exclusive offers tailored to their group. If the budget allocated is between 1000 to 9000 the elasticity varies between 1 to 1.25.
Collaboration Campaign 3	Partner with clubs or events, offering a space for meetups or co-branded merchandise. It enhances the café's reputation as a community hub, fostering loyalty among the target group by catering to their specific needs. If the budget allocated is between 1000 to 9000 the elasticity varies between 1 to 1.27.

The Promotion elasticity for various promotion budget are as follows:

Price	Jayanagar Bangaluru University	Whitefield - ITPL Corporate Park
INR 1000	0.8	0.82
INR 10,000	1.02	0.99
INR 18,000	1.2	1.25

c. Service

Participants need to decide regarding the kind of service offered to customers. This choice should be grounded in a thorough evaluation of the advantages and disadvantages of various service options, considering the associated costs for each service. Insights from the monthly cost graph further play a role in making well-informed decisions.

- 1. Self Service:** It reduces the need for staff assistance and improves service speed. It gives customers a sense of control over their experience, allowing them to customize and manage their choices. While result in reduced human interaction, which can negatively impact the customer experience and hinder opportunities for upselling or personalized assistance.
- 2. Table Service:** It provides customers with direct interaction with waitstaff, allowing for personalized recommendations, attentive service, and a more tailored dining experience. Waitstaff can actively promote additional menu items, increasing the potential for upselling and enhancing revenue. Employing waitstaff for table service adds to labour expenses, including wages, training, and benefits, which may impact overall operational costs The major parameters to consider while choosing the services are as follows:

Parameters	Self Service	Table Service
Monthly Cost INR	25000	60000
Jayanagar Elasticity	0.99	1.015
White field Elasticity	0.96	1.04

One of the sample ideal solutions

Step 1: Setting Objective and Location

Location ②

Select one of the locations:



Jayanagar - Bengaluru University



Whitefield - ITPL Corporate Park

Target Audience:	College Students & Faculties	Corporate Employees
Footfall Potential:	High	Moderate to High
Competition:	Premium and standard tea and cafes	Premium tea and cafes
Consumer Spending:	Limited, price sensitivity is higher	Higher, potential for premium offerings
Operating hours:	Extended hours due to students schedule	Standard office hours, potential rush on breaktime
Menu offering:	Quick bites, affordable options, unique and trendy tea	Grab and go, healthy alternatives and premium teas
Marketing:	Student partnerships & events	Student partnerships & events
Space Requirements:	Seating/standing for groups, student friendly ambience	Space for meetings and comfortable seating for professionals
Seasonal Variation:	Reduced footfall during college holidays	Fluctuation based on corporate events & holidays
Rental per month (includes licence fees), INR	80000	120000

it is essential to consider the location's characteristics and the nature of the audience when making decisions across each tab. This approach ensures that choices align with the specific dynamics of the chosen location and effectively cater to the preferences of the target audience.

Objective: Here in this case, goal set is to increase customer numbers and significantly elevate the profit margin above 10 percent. Opting for Jayanagar, Bengaluru, near the university area, could be a strategic choice. This location caters to a target audience primarily composed of college students, ensuring a higher footfall. the target audience is price sensitive. Comparatively, the rent for the Jayanagar location is lower than that of Whitefield, and the standard size for the tea shop is 150 square feet.

Step 2: Decision on Licensing & Regulation

Licensing & Regulation ②

Licensing and regulation are vital for operating a tea retail store in any location to ensure adherence to health, safety, and quality standards set by authorities. They provide legal authorization and foster trust among consumers, ensuring they receive safe, authentic products. Obtaining permits will involve food and beverage licenses, and business operating licenses.

In-House Compliance

The company will hire one resource who will have complete oversight over the store's compliance needs. The resource will provide customized solutions as per the business needs. The one drawback would be without expert insights there may be blind spots which will cause delays in operations. [Hide all](#)

Outsourcing to Compliance Agencies

The outsourcing agency is ISBI Bank, these professionals are trained to stay up to date on changing regulations. There is the possibility of a quicker turnaround on getting compliant due to their experience. The drawback is they are expensive and relying on a third party for compliance might not always align with the company's business objective. [Hide all](#)

Licensing & Regulation Monthly Cost, INR

Option	Monthly Cost (INR)
In-House Compliance	25,000
Outsourcing to Compliance Agencies	45,000

The decision to opt for either In-house compliance or outsourcing to compliance agencies involves balancing factors such as the overall monthly cost, turnaround time, and alignment with business objectives. The turnaround time /delay for outsourcing is zero while for In-House it is 5 months.

Step 3: Estimate the demand

Demand ②

Estimate the demand (tea cups per day):

80

Note: The difference between estimated demand and actual demand will result in a sales forecasting error. As a rule of thumb forecasting error higher than 20% will increase the ordering of tea and cups cost by 10%. It is due to adjustments in orders at the last minute.

Demand data

Business days in Month	Population in Vicinity
26	25000
Average consumption of tea cups per day/pax	Competitors in Vicinity
3	10
Estimated tea cups demand next month	
3,164	

Estimated Monthly Demand - Tea Cups, per shop

Month	Estimated Monthly Demand (Tea Cups)
Jan	2000
Feb	3500
Mar	3000
Apr	1500
May	1500
Jun	4500
Jul	3000
Aug	4000
Sep	4000
Oct	3500
Nov	3000
Dec	3500

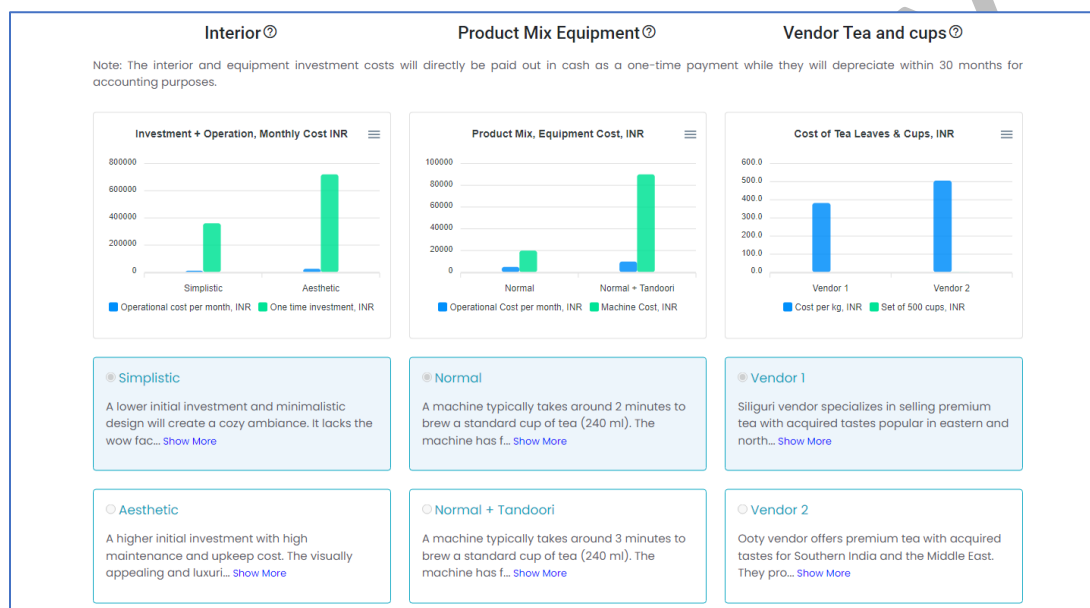
Consumer personas

Riya Sharma, 21, a business management student, enjoys tea to relax during her demanding college life. She savors a variety of teas and starts her day with a classic brew. Her tea visits are frequent, for focus, socialization, and comfort. Riya cherishes tea shops with diverse choices in a cozy setting, promoting sustainability. Balancing academics and self-care while exploring new tea flavors are her challenges. Riya sees tea as her college journey companion, offering focus, tranquility, and balance.



Utilizing the demand data, participants can estimate the demand for teacups per day. They have the option to pursue aggressive strategies with a high estimate or opt for a more realistic approach. The consumer persona details insights into the preferences of the target audience, aiding in the estimation of demand and guiding investment decisions related to tea shop design, promotions, and other aspects.

Step 4: Investment Decisions on interior, Product Mix equipment and Vendor

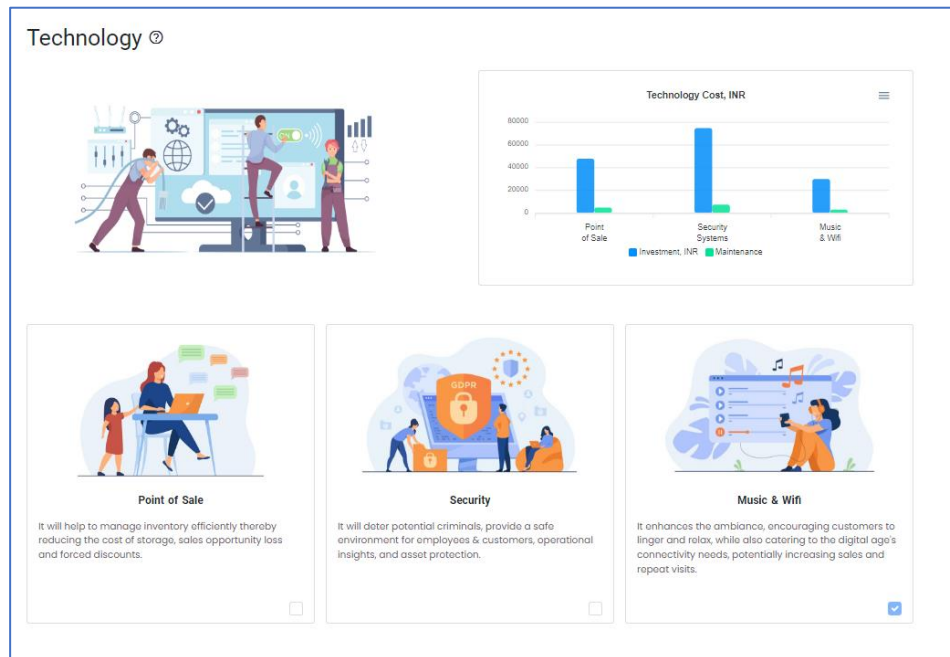


The trade-offs to decide on the investment areas are based on the total cost associated with each of the options, the target market and price sensitivity, and the benefits of each of these options. As we have decided to target college students who are price sensitive, to improve the margin, we opted for reducing the cost wherever possible. When it comes to simplistic design, The operational cost per month is INR 12,000 and one-time investment is INR 3,60,000.

The major factor that has to be consider while deciding the product mix equipment is the operational cost per month and machine cost. We opted here the Normal product mix with an operational cost of INR 5000 and machine cost of INR 20,000.

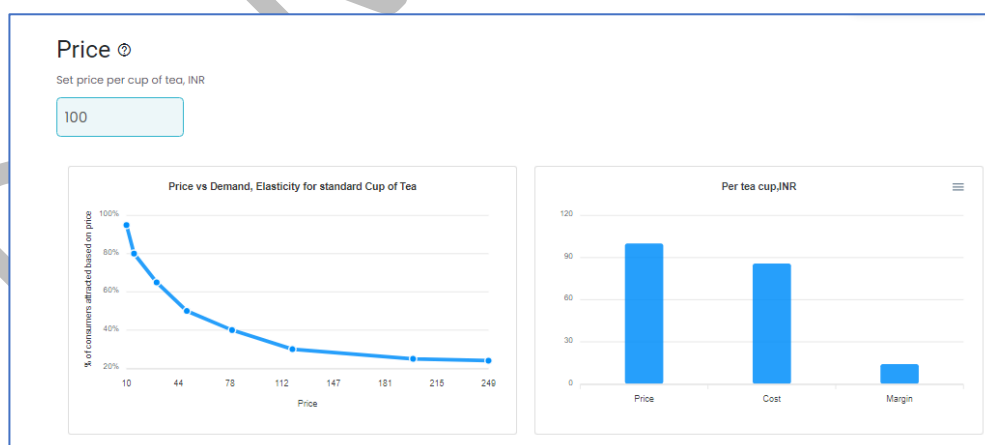
The choice of vendors depends on factors like the cost per kilogram of tea leaves and the cost for a set of 500 cups. In this case, Vendor 1 has been selected, with a cost of INR 382 per kilogram of tea leaves, INR 0.9 per cup, and a set comprising 500 cups.

Step 5: Decision on Technology



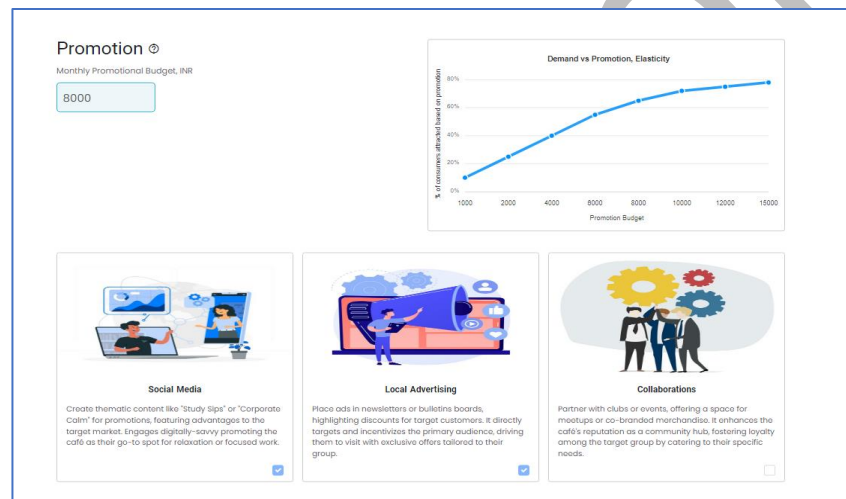
When considering technology decisions, it is essential to analyse the associated costs and evaluate how well each option aligns with the target audience. In this instance, we have chosen to implement Music & Wi-Fi. The investment cost for this option is INR 30,000, with a maintenance cost of 10 percent and an anticipated effect on sales of 1.04.

Step 6: Set the Price



Leverage the target audience's preferences, consider their sensitivity to pricing, assess the overall investment cost, and analyse the Price vs. Demand elasticity graph to determine the optimal pricing. For example, setting the price at a low of 10 INR results in an estimated demand of approximately 95 percent, while a high price of 250 INR corresponds to a demand percentage of 24 percent. In this context, based on the Price vs Demand elasticity graph, it is anticipated that setting the price at 100 INR will attract approximately 30 percent of the target audience.

Step 7: Decide Promotion Budget



By comprehending the consumer persona and the characteristics of the target market, select the most suitable promotional strategies from the available choices. If participants opt for more than one option, the promotion budget will be evenly distributed. The Demand vs. Promotion elasticity graph will provide insights into the impact of the promotion budget on

demand, aiding in decision-making. In this case, the designated promotion budget is INR 8000, and it is anticipated that this allocation can attract approximately 65 percent of the demand.

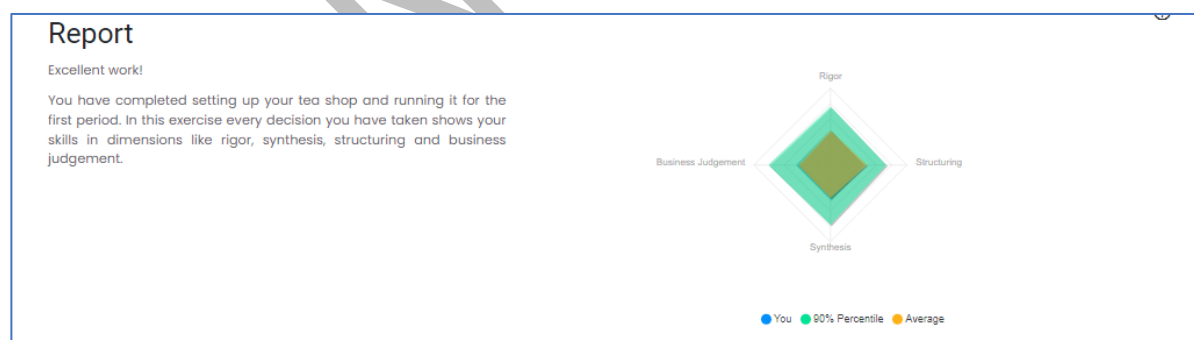
Step 8: Service



The decision of opting for either self-service or table service depends on the associated monthly costs, the characteristics of the target market, and the level of interactions or the demand for a personalized dining experience for the target customers. In this instance, we choose Self Service, incurring a monthly cost of INR 25000, with an elasticity impact of 0.99 percent on the target audience.

Report Analysis

The report section consists of detailed information on how well the participant took the overall decision in setting up the business.



The figure showing the report section in the platform

This section consists of feedback on the performance of the participant based on four metrics.

- **Rigour:** Consistency throughout the decision-making and recommendation.
- **Structuring:** Logical approach of gathering and analysing information
- **Synthesis:** Approach towards interpreting information and making informed decisions

- **Business Judgement:** Ability to evaluate facts and consider risks and possible implications when making decisions.

Cash Balance: This section includes a table and graph illustrating the diverse elements of fixed costs linked to establishing the business.

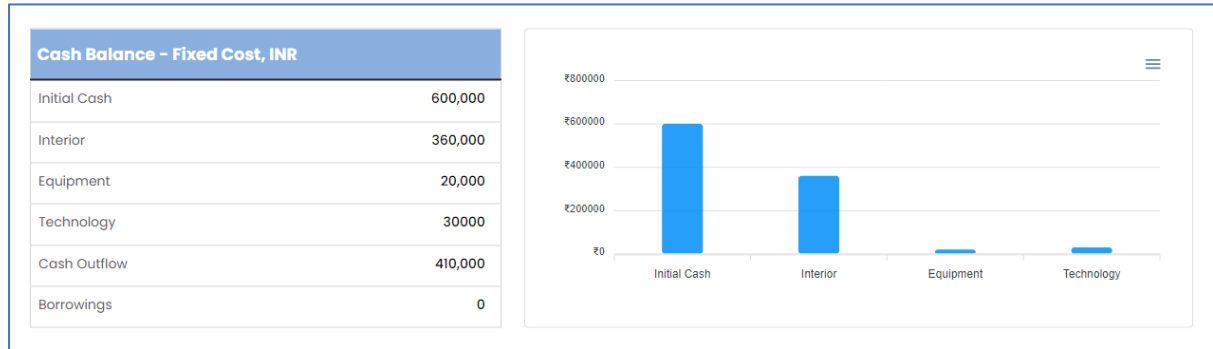


Figure Showing the results area in the Simulation

Operational Cost: This section includes a table and graph illustrating the total operational cost of the business.

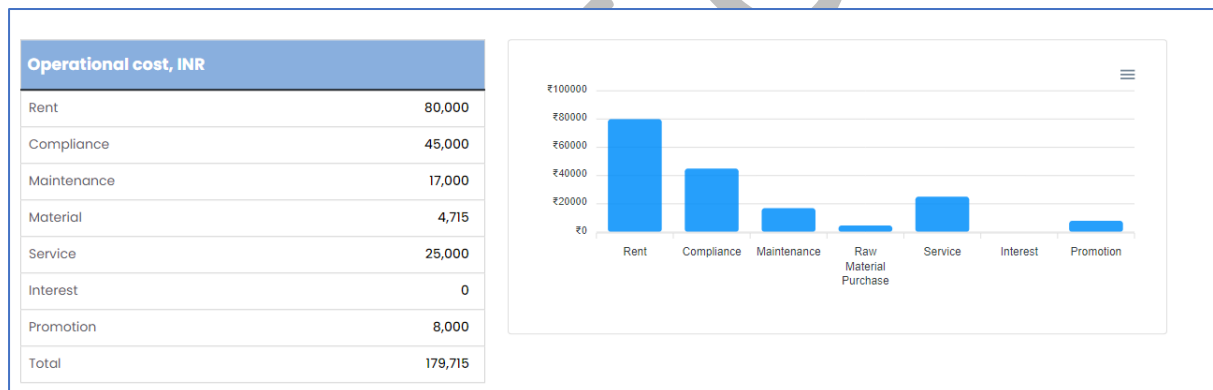


Figure Showing the results area in the Simulation

Income Statement: This section includes a table and graph illustrating the income statement linked to establishing the business. The goal was to improve the profit margin above 10 percent.

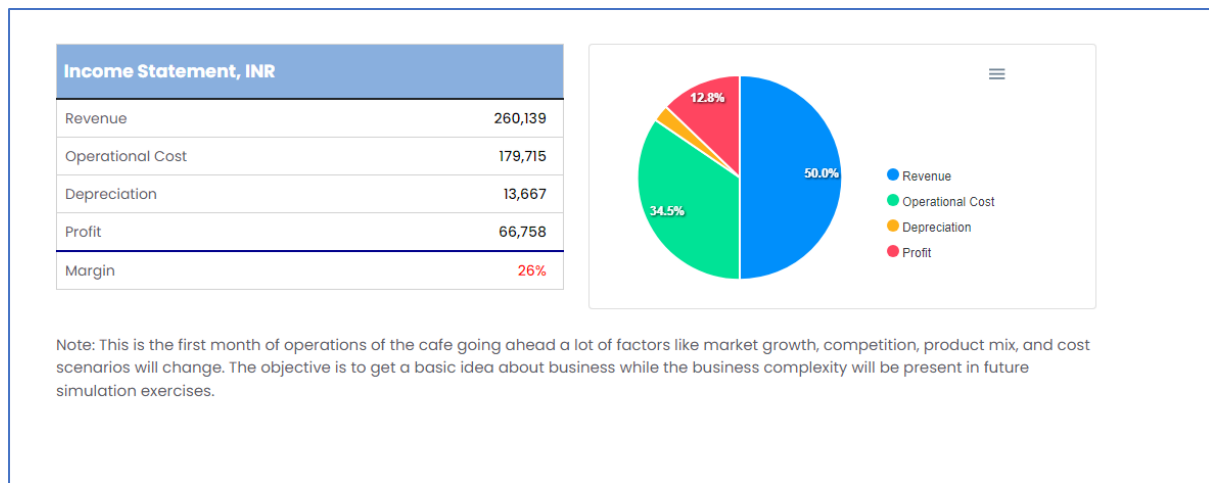


Figure Showing the results area in the Simulation

Case Customization

The case can be customized based on the faculty's requirements, providing the flexibility to enable or disable specific decision tabs within each module. Additionally, various parameters, such as market outlook, demand data, investment details, etc., can be adjusted to meet specific needs.

Implementation – Methodologies

From our experience, we have seen Professors using two different teaching plan options. Option A is for the one who is pressed on time while option B offers a chance to participants to use the module multiple times and learn from their past decisions.

Option A

To begin, the instructor should introduce the module with the walkthrough video, explaining to the students all the different decision-making points involved in the module and how to connect them with one another (with the use of teaching notes provided by Cesim). The instructor should then provide the opportunity for the students to play the module by themselves. The students can play the module within a team or individually. Once the module is over, the instructor can quickly review the decision-making made by the students along with the results they achieved.

The instructor can compare the results of different students across the module and then debrief them while driving a discussion in the class.

1. Introduction (5 minutes)
2. Run Simulation (30 to 35 minutes)
3. Debrief (10 minutes)
4. Conclusion (8 to 10 minutes)

Option B

To begin, the instructor should introduce the module with the walkthrough video, explaining to the students all the different decision-making points involved in the module and how to connect them with one another (with the use of teaching notes provided by Cesim). The instructor should then provide the opportunity for the students to play the module by themselves. The students can play the module within a team or individually. The instructor should debrief them in short. The instructor should ask the students to play the module again with the same scenario or if they want to change some parameters that can be done. The students again played the module and completed it.

Once the module is complete the instructor can quickly review the decision-making made by the students along with the results, they achieved across the rounds to compare their progress, trends, and approach towards the module. The emphasis of this plan is to let the students play the module multiple times so they can learn from their previous rounds.

The instructors generally ask students to play the module 3 times, whereas the 3rd time is for inculcating concepts.

1. Introduction (5 minutes)
2. Run Simulation (30 to 35 minutes)
3. Debrief (10 minutes)
4. Run Simulation (30 to 35 minutes)
5. Conclusion (8 to 10 minutes)
6. Run Simulation (self-paced at their own time)
7. Short Presentation & Takeaway.

Suggested Discussion Starters

1. What factors should participants consider when conducting a SWOT analysis for the two location options in Bengaluru?
2. How can technology integration enhance the efficiency of the business operations in the tea retail sector?
3. How might the company navigate licensing and regulatory requirements to operate a tea retail store successfully?
4. What innovative promotional activities can be devised to attract the target audience in Bengaluru, considering the Demand vs. Promotion elasticity graph?
5. In what manner can the company maintain a balance between offering competitive prices for tea while ensuring profitability, based on the Price vs. Demand elasticity graph?
6. How can the company differentiate its services to create a unique and appealing ambiance for customers in Bengaluru?
7. What key performance indicators (KPIs) should participants monitor to gauge the success and profitability of the tea retail business in Bengaluru?
8. How can the company stay attuned to market trends and rapidly changing consumer demands to remain competitive in the dynamic tea industry?
9. How can the company balance profitability and profit margins to meet the winning criterion of the simulation, and what adjustments can be made based on financial insights?